Aurora Renewable Power (AURP) — Data-Center Demand Re-rates the Growth Runway

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Rating and Price Target

We reiterate **OVERWEIGHT** on Aurora Renewable Power (NYSE: AURP) and raise our price target to **$64** (from $60). Shares last closed at $55.80. Aurora signed 2.4 GW of new long-term PPAs year to date, of which 1.1 GW are with hyperscale data-center operators at prices ~12% above its legacy portfolio average.

Investment Thesis

1. Contracted growth: Operating capacity of 11.6 GW with an 18 GW development pipeline (solar 55%, wind 25%, battery storage 20%). We model 1.8–2.0 GW of annual additions through 2030. **2. Tax-credit transferability:** Aurora monetised $640M of tax credits via transfer sales in 2026, reducing reliance on tax-equity partnerships. **3. Funding need is large but well-telegraphed:** 2027–2029 capex of ~$4.5B per year requires ~$1.5–2.0B of external capital annually; management prefers green bonds and hybrid capital to protect its BBB rating.

Financial Estimates (USD millions, except per share)

Metric	FY2025A	FY2026E	FY2027E	FY2028E
Revenue	3,910	4,320	4,860	5,410
Adj. EBITDA	2,330	2,610	2,980	3,350
CAFD per share	2.18	2.41	2.66	2.92
Dividend per share	1.52	1.62	1.72	1.83
Net debt / EBITDA	5.4x	5.2x	5.1x	4.9x

Capital Markets Outlook

We expect Aurora to launch a **$1.5B inaugural green hybrid (junior subordinated) offering** in H1 2027, which receives 50% equity credit from rating agencies. An at-the-market (ATM) equity programme of $750M remains in place. A minority stake sale (up to 49%) in a 3 GW operating portfolio is also under consideration to recycle capital at an implied ~9x EV/EBITDA.

Key Risks

Policy risk around federal tax-credit phase-downs; interconnection queue delays (avg. 3.5 years); panel tariffs raising solar capex 6–8%; rising rates compressing the valuation of long-duration contracted cash flows.